Forfeiture & Reissue of Shares

paid stays, unpaid goes!

Financial Accounting-2

In simple words Company cancels shares when a call is unpaid, keeps the money received, and later sells the shares again.

1 Forfeiture of shares

Cancelling a defaulting member's shares for non-payment of a call, as per Articles. The amount already received is not refunded.

Share capital is debited at called-up amount

2 Reissue of shares

Selling the forfeited shares again, often as fully paid, at par or at a discount. Discount cannot exceed the forfeited amount on those shares.

Gain goes to Capital Reserve

1. On forfeiture, debit Share Capital at the called-up amount, not the face value.
2. Credit Forfeited Shares A/c with the amount actually received; credit Calls in Arrear for the unpaid part.
3. Premium already received stays in Securities Premium A/c. If premium was not received, debit Securities Premium too.
4. After reissue, the gain on those shares is transferred to Capital Reserve.



Swipe for the formula →

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Entries and Capital Reserve

three entries, every time

Forfeiture and Reissue of Shares

Capital Reserve on reissue

Capital Reserve = F − D

F = amount forfeited on the shares reissued (received amount); D = discount allowed on reissue of those shares.

On forfeiture

Equity Share Capital A/c	.....	Dr
Securities Premium A/c	.....	Dr
To Forfeited Shares A/c		
To Calls in Arrear A/c		

(Being shares forfeited; premium debited only if unpaid)

On reissue at a discount

Bank A/c	.....	Dr
Forfeited Shares A/c	.....	Dr
To Equity Share Capital A/c		

(Being forfeited shares reissued as fully paid at a discount)

Gain on reissued shares

Forfeited Shares A/c	.....	Dr
To Capital Reserve A/c		

(Being gain on reissued shares transferred to Capital Reserve)

Forfeit first, then reissue! Only the Forfeited Shares balance of the reissued shares, after discount, becomes Capital Reserve.

Swipe for a memory trick →

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STUDY TRICK

Forfeiture and Reissue of Shares

remember with a small story

PAID STAYS, UNPAID GOES

Money received stays in Forfeited Shares A/c; unpaid amount goes out through Calls in Arrear. Reissue surplus then moves to Capital Reserve.

HOW TO ATTEMPT IT

1 Find called-up amount per share → 2 Find amount received per share →

3 Debit Capital; credit Forfeited, Arrear →

4 Reissue: Bank + discount = Capital → 5 Move surplus to Capital Reserve

EXAM TIP

In MCQs, profit on forfeiture and reissue goes to Capital Reserve, never to the Profit and Loss account.

DOUBT BUSTER

Is the whole Forfeited Shares balance Capital Reserve? No. Only the part for the shares reissued, after discount, is transferred. Balance for unissued shares stays in Forfeited Shares A/c.

Swipe for common mistakes →

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COMMON MISTAKES

Forfeiture and Reissue of Shares

avoid these lost marks

✗ Debiting Share Capital at face value on forfeiture

✓ Debit Share Capital at the amount actually called up on the forfeited shares.

✗ Transferring the full Forfeited Shares balance to Capital Reserve after a part reissue

✓ Transfer only the amount relating to the shares reissued, less discount allowed.

✗ Crediting profit on reissue to Profit and Loss A/c

✓ Credit the gain to Capital Reserve A/c.

PAST EXAM RADAR

CMA Inter MQP J26 S2, MQP D25 S1 · MCQ

Where net profit on forfeiture and reissue of equity shares is transferred

CMA Inter PY J19 · MCQ

Account credited with profit on forfeiture and reissue of equity shares

CMA Inter PY D22 · MCQ

Final call unpaid; shares forfeited and reissued; amount moved to Capital Reserve

TOMORROW'S CMA CAT MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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